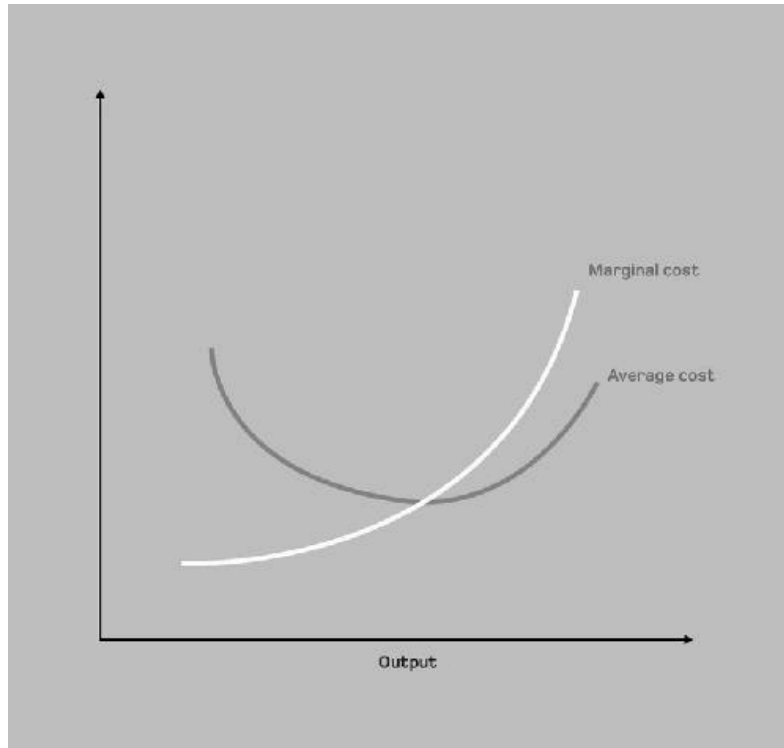


Average versus marginal cost

An important distinction in economics is that between average and marginal amounts – for example, average versus marginal cost. Suppose that a furniture manufacturer makes 100 tables at a total cost of £1,000. The average cost of manufacture is then £10. However, the cost incurred from making an additional table is not necessarily £10. If it is more than £10, then production of the extra table will push up the average cost; if less, it will pull it down. This is analogous to the scoring average of a football player – if in his next game he scores more goals than his average, his average score will rise.

Often the marginal cost of production rises with output because it becomes harder to squeeze out extra output when one is already producing a large amount. In making a decision about whether to produce an extra table, the firm must consider marginal rather than average cost: if marginal cost is less than marginal revenue, then it is profitable to produce an extra table.

Marginal and average costs



When marginal cost is below average cost, average cost is falling and when marginal cost exceeds average cost, average cost is rising.